ECONOMICS TEST

UNIT 2

ELASTICITIES

Max Marks: 47 M

Time Limit: mins

Q1

Define income elasticity of demand.

(2M)

Q2

Explain the factors affecting price elasticity of demand.

(10M)

Q3

Explain using diagrams to illustrate PED and the effect of price changes on Total Revenue.

(10M)

Q4

Explain the factors affecting price elasticity of supply.

(10M)

Q5

Economic Data for Ireland

2016

2020

Real GNI per capita

57140

66010

Population (in millions)

4.76

4.99

From 2016 to 2020, Ireland’s demand for new automobiles increased by nearly 38%.

a.

Using information from table, calculate YED for new automobiles in Ireland considering the change in income between 2016 and 2020.

(3M)

b.

State whether new automobiles are a normal or inferior good in Ireland.

(1M)

Q6

In 2017, the average price of an SUV in Belgium was E27000. In 2020, the average price of SUVs in Belgium increased to E30,000. The number of SUVs sold in 2017 was 120000 compared to 100000 in 2020.

(2M)

a.

Calculate the PED of SUVs.

(3M)

b.

State the significance of PED value from part a.

(1M)

c.

Outline one determinant of PED for SUVs.

(1M)

d.

Explain the importance to firms of knowing the PED of their good.

(4M)